5.2 MONEY DEMAND

MARKING SCHEME

1990/AL/II/13 D	1995/AL/II/14 B	2005/AL/II/15 D (68%)	2013/DSE/I/27 B (67%)	2017/DSE/I/30 A (69%)
1991/AL/II/15 C	1995/AL/II/15 B	2008/AL/II/20 D (56%)	2015/DSE/I/28 A (55%)	2018/DSE/I/29 C (65%)
1993/AL/II/28 A	2001/AL/II/22 C	2009/AL/II/15 B (65%)	2016/DSE/I/29 A (41%)	2019/DSE/I/33 D
2020/DSE/I/28 D	2020/DSE/I/37 D	2020/DSE/I/31 D	2022/DSE/I/33 B	2022/DSE/35 A
2023/DSE/29 A	2024/DSE/II/27 A	**2025/DSE/I/33** B		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1991/AL/II/1

Consider a model with two assets: money and bonds (or interest-yielding assets).
The opportunity cost of holding money is the highest-valued forgone option (i.e. return to holding other assets).
When the price level is assumed to be fixed, the nominal interest rate is the same as the real interest rate.

2002/AL/II/3(a)

Yes, the interest rate, being the return to holding interest-bearing assets such as bonds, represents the opportunity cost of holding money -- just like the (relative) price of a commodity being the amount of an alternative commodity forgone is the opportunity cost of acquiring that commodity.

2003/AL/II/4

(a) Liquidity is the property of an asset that makes it easily marketable at short notice without loss. Since money is a universally accepted medium of exchange, it is clearly the most liquid asset on earth.

(b) Money can be regarded as a risk-free asset in a world of stable prices, but not when prices may fluctuate over time. In addition to inflation risk, one can also imagine 'bank run' risks when one is thinking of money not merely as cash but also as bank deposits. (Instability in the purchasing power of money may also arise form exchange rate risk and political or country risk.)

(c) Risk-averse agents are willing to hold money even though its expected rate of return is lower than that of other assets (such as bonds and stocks) because it is more liquid (less transaction-costly as a medium of exchange, i.e. transactions demand for money) and less risky (as a stock of value, i.e. asset demand for money) than other assets.

2009/AL/II/2

(c) As implied by the Fisher equation, these two interest rates are related to the rate of expected (rather than actual) inflation. Both interest rates are determined today and to be paid tomorrow with certainty. Depending on the actual realization of the price level tomorrow (which is unknown today), however, the nominal interest may yield higher or lower return in real terms tomorrow (i.e. the actual real interest is not necessarily the same as expected).

(d) The nominal interest rate, which is the rate of return on "bonds" (i.e., other financial assets forgone if people hold money), can be interpreted as the opportunity cost of holding money (whose rate of return is zero).

2020/DSE/II/9A

9 a) Oligopoly.

Price searcher
Homogeneous or heterogenous product
Difficult to enter the market
Imperfect market information
Interdependent of pricing strategies among firms
Non price competition (mark the first 3 points)

2023/DSE/II/10a

(a) Advantage of holding Silver Bonds over cash:
Purchasing power can be better preserved in times of inflation since the nominal rate of return on Silver Bonds rises with inflation while that of cash remains at zero regardless of inflation rate. (2)

Disadvantage of holding Silver Bonds over cash:
Liquidity is lower since it takes days for Silver Bonds to be redeemed and converted into cash. (2)